

SPX SPINOFF TRADING STRATEGY

Systematic Backtest Report

Generated: March 07, 2026

STRATEGY SUMMARY

- Universe: S&P 500 spinoff stocks (parent was SPX member at spinoff date)
- Entry Rule: Buy 30 calendar days after spinoff listing
(allows index funds & forced sellers to finish dumping shares)
- Exit Rule: Sell after 365 calendar days (~1 year) from entry
- Sizing: Equal weight per trade
- Benchmark: SPY (S&P 500 ETF, total return)
- Data: Yahoo Finance adjusted closes

KEY RESULTS

Closed Trades:	26		Win Rate:	+73.1%	(% trades positive)
Beat SPY Rate:	+46.2%	(% trades > benchmark)	Mean Return:	+30.1%	(per trade, ~1yr hold)
Median Return:	+15.2%		Mean Alpha:	+13.6%	(vs SPY same period)
Info Ratio:	0.29	(alpha / std alpha)	p-value:	0.166	(H ₀ : alpha=0)
Best Trade:	+168.2%		Worst Trade:	-47.6%	

DISCLAIMER

This report is for educational and research purposes only. Past performance does not guarantee future results.
Strategy returns are gross of transaction costs, slippage, and taxes. Live trading results will differ.
Spinoff returns may be partially explained by survivorship bias in data availability.

Universe Construction — S&P 500 Historical Membership Verification

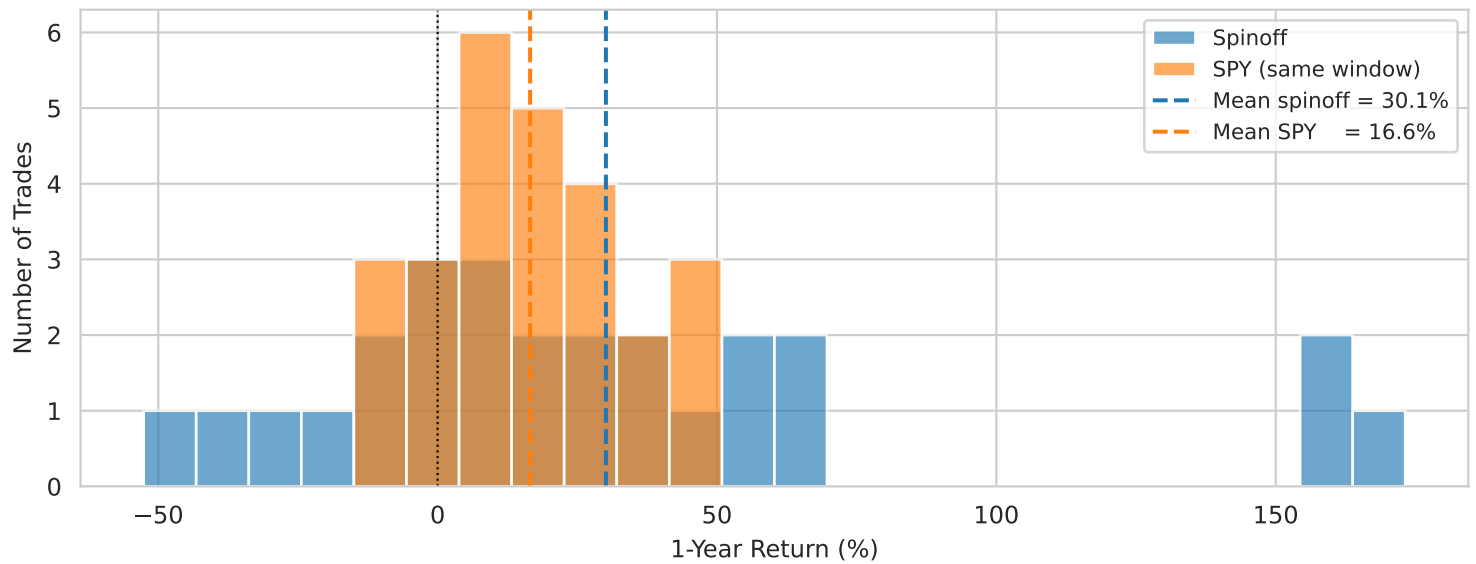
SURVIVORSHIP BIAS CONTROL

The filter 'parent must be S&P 500 member AT spinoff date' is enforced using HISTORICAL membership, not current index composition. Each parent's S&P 500 status at the spinoff date was manually verified against S&P Global press releases, SEC filings, and financial databases. Entries marked EXCLUDED are removed from ALL return calculations.

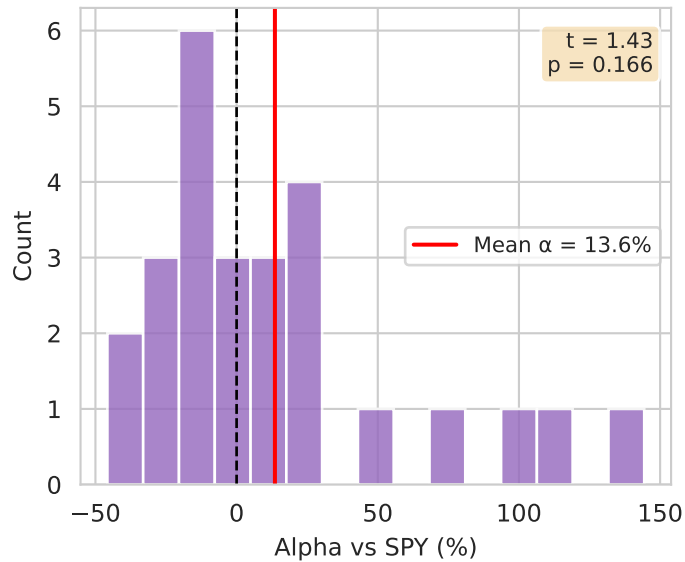
Spinoff	Parent	Date	In S&P 500 at Spinoff	Trade Status	Verification Note (abbreviated)
MPC	MRO	2011-07-01	YES ✓	In universe	MRO in S&P 500; Marathon Oil was long-standing large-cap constituent
ADT	TYC	2012-09-28	YES ✓	In universe	TYC in S&P 500; Tyco was in index until Pentair/ADT split
ABBV	ABT	2013-01-02	YES ✓	In universe	ABT in S&P 500; Abbott well-established constituent
ZTS	PFE	2013-02-01	YES ✓	In universe	PFE in S&P 500; Pfizer is Dow Jones / S&P 500 blue chip
VOYA	ING	2013-05-02	NO ✗	EXCLUDED	ING Group is Dutch (Amsterdam HQ); NOT in S&P 500. S&P 500 requires US..
MNK	COV	2013-07-01	YES ✓	In universe	COV in S&P 500; Covidien plc was NYSE-listed large-cap (Irish-incorpor..
SYF	GE	2014-07-31	YES ✓	In universe	GE in S&P 500; General Electric was Dow Jones / S&P 500 blue chip
PYPL	EBAY	2015-07-20	YES ✓	In universe	EBAY in S&P 500 at spinoff date; eBay added ~2002
HPE	HPQ	2015-11-02	YES ✓	In universe	HPQ in S&P 500; HP was Dow Jones / S&P 500 constituent
BXLT	BAX	2015-07-01	YES ✓	In universe	BAX in S&P 500; Baxter was established large-cap constituent
FTV	DHR	2016-07-02	YES ✓	In universe	DHR in S&P 500; Danaher is established large-cap constituent
AA	ARNC	2016-11-01	YES ✓	In universe	Old Alcoa (AA) renamed to Arconic (ARNC) and remained in S&P 500 befor..
CNDT	XRX	2017-01-03	YES ✓	In universe	XRX in S&P 500 at spinoff date; Xerox remained in S&P 500 through at l..
DXC	HPE	2017-04-03	YES ✓	In universe	HPE added to S&P 500 when HP split Nov 2015; in index by Apr 2017
NVT	PNR	2018-05-01	YES ✓	In universe	PNR in S&P 500; Pentair plc (Irish-incorporated) was grandfathered S&P..
DOW	DWDP	2019-04-01	YES ✓	In universe	DWDP in S&P 500; DowDuPont replaced both Dow and DuPont in Dow Jones i..
CTVA	DWDP	2019-06-03	YES ✓	In universe	DWDP in S&P 500; same as above
OTIS	UTX	2020-04-03	YES ✓	In universe	UTX in S&P 500; United Technologies was Dow Jones / S&P 500 constituen..
CARR	UTX	2020-04-03	YES ✓	In universe	UTX in S&P 500; same as above
HWM	ARNC	2020-04-01	YES ✓	In universe	ARNC (Arconic, formerly old Alcoa) in S&P 500 at time of 2020 split
VNT	FTV	2020-10-09	YES ✓	In universe	FTV in S&P 500; Fortive added to S&P 500 at spinoff from Danaher 2016
GXO	XPO	2021-08-02	YES ✓	In universe	XPO in S&P 500; XPO Logistics added to S&P 500 ~September 2015, confir..
KD	IBM	2021-11-04	YES ✓	In universe	IBM in S&P 500; IBM is Dow Jones / S&P 500 blue chip
CEG	EXC	2022-01-03	YES ✓	In universe	EXC in S&P 500; Exelon was established large-cap utility constituent
RXO	XPO	2022-11-01	YES ✓	In universe	XPO in S&P 500; same as GXO note above
SUMMARY: 32 spinoffs in universe (parent verified as S&P 500 member at spinoff date) 1 excluded (parent not in S&P 500) No automated live S&P 500 constituent check — historical verification is manual + sourced.					
GEHC	GE	2023-01-04	YES ✓	In universe	GE in S&P 500; GE was in index (removed from Dow 2018 but not S&P 500)
KVUE	JNJ	2023-05-04	YES ✓	In universe	JNJ in S&P 500; J&J is Dow Jones / S&P 500 blue chip
VLTO	DHR	2023-09-14	YES ✓	In universe	DHR in S&P 500; Danaher is established S&P 500 constituent
SOLV	MMM	2024-04-01	YES ✓	In universe	MMM in S&P 500; 3M is Dow Jones / S&P 500 blue chip
GEV	GE	2024-04-02	YES ✓	In universe	GE in S&P 500; same as GEHC note above
SNDK	WDC	2025-02-24	YES ✓	In universe	WDC in S&P 500; Western Digital was established large-cap constituent...
SOLS	HON	2025-10-30	YES ✓	In universe	HON in S&P 500; Honeywell is Dow Jones / S&P 500 blue chip. SOLS joine..
Q	EMN	2025-10-31	YES ✓	In universe	EMN in S&P 500 at spinoff date; EMN was replaced by Q in S&P 500 effec..

Return Analysis

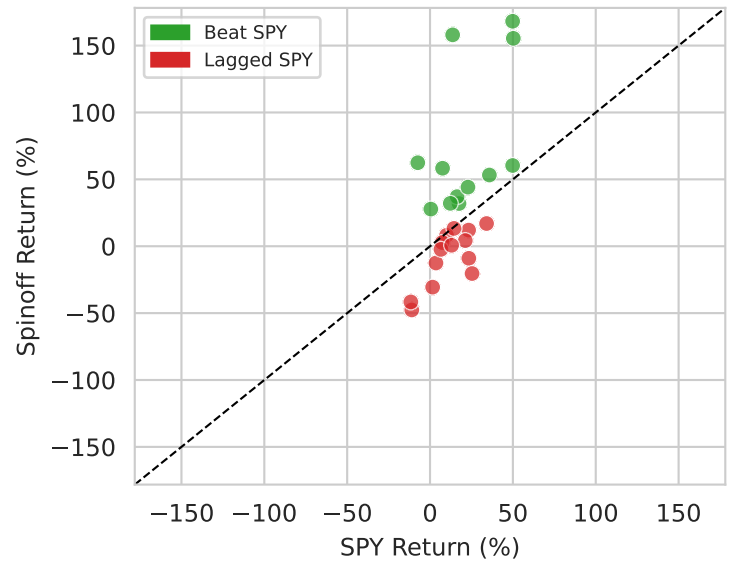
(a) Distribution of 1-Year Returns: Spinoff vs SPY



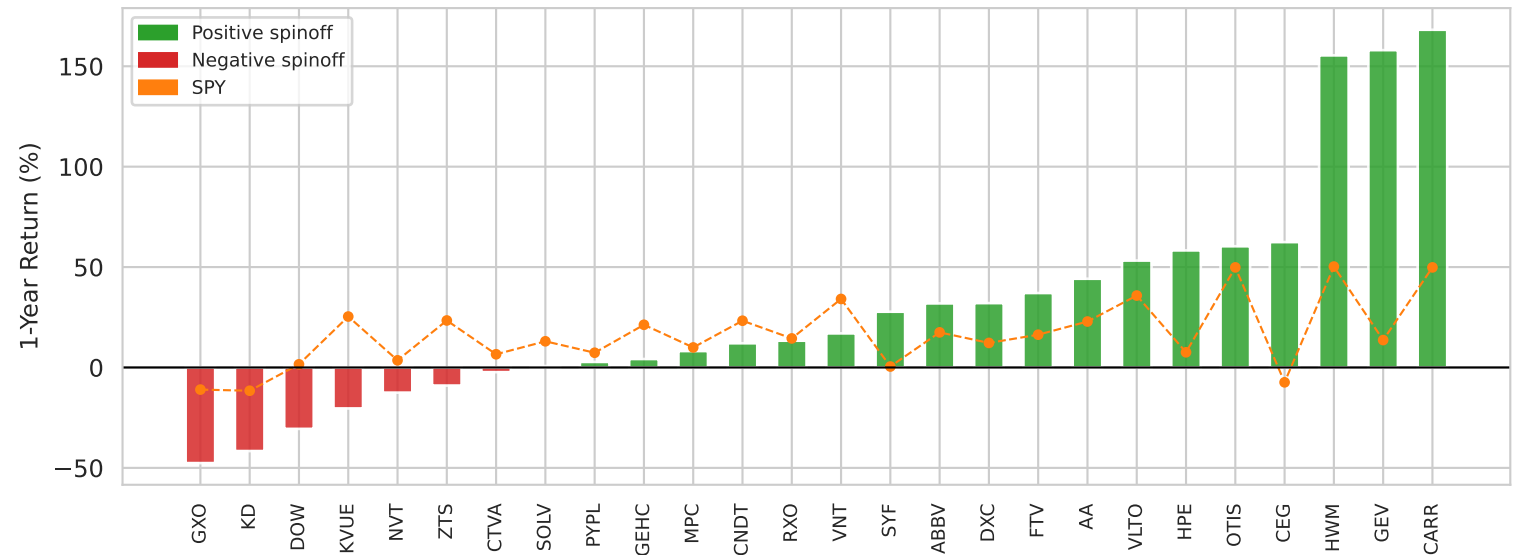
(b) Alpha Distribution



(c) Spinoff Return vs SPY (same window)

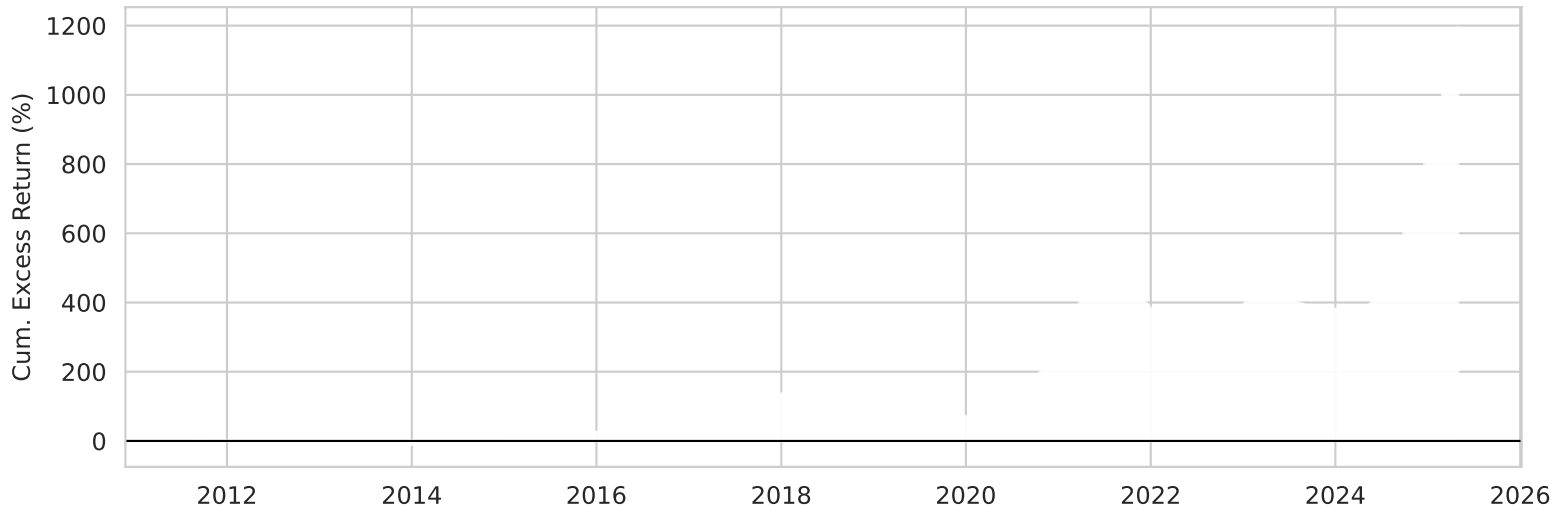
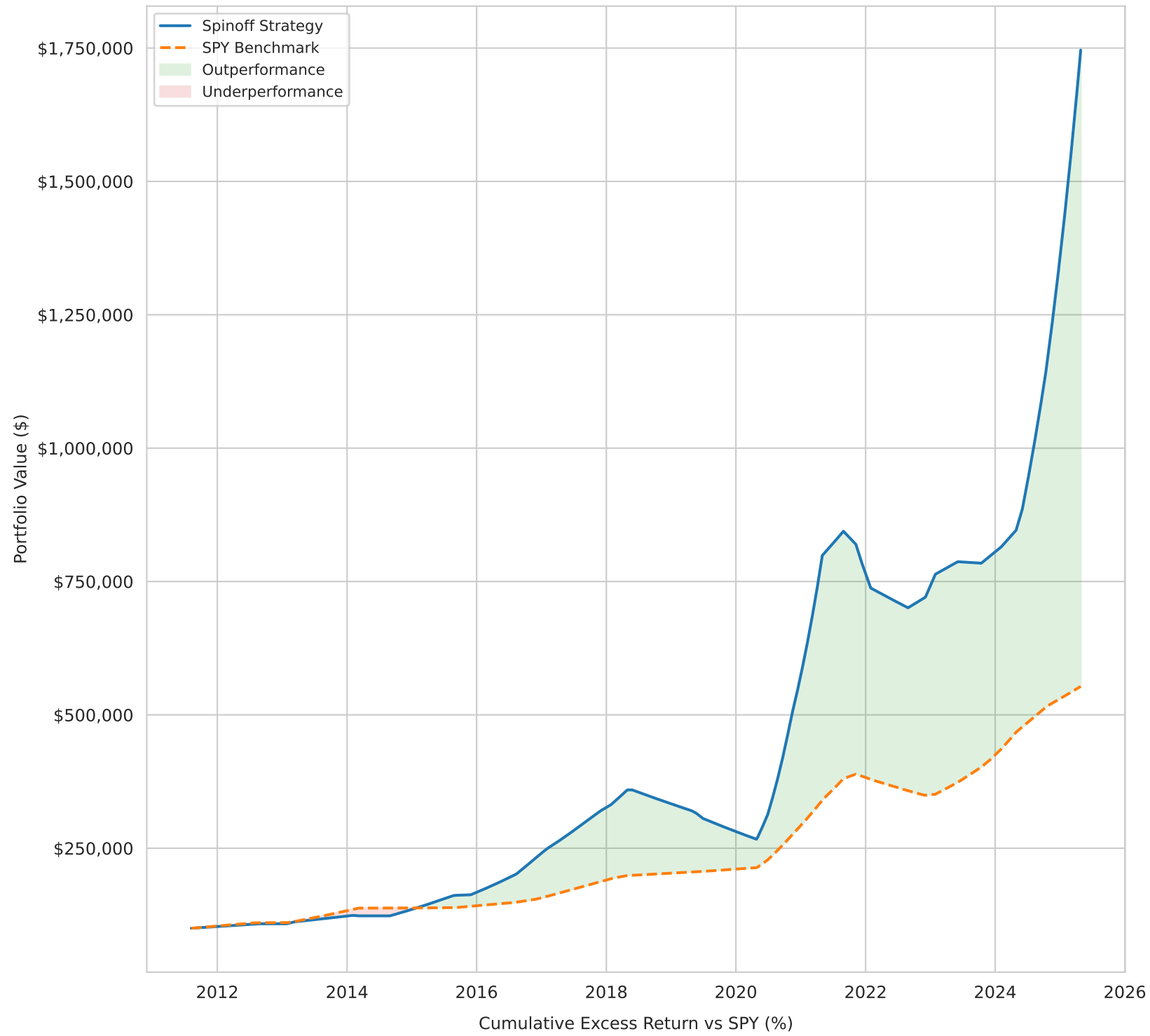


(d) Individual Trade Returns (sorted by spinoff return)



Portfolio Equity Curve

Cumulative Portfolio Value — \$100,000 Starting Capital
(Equal-weight, 1-year hold, rebalanced per trade)

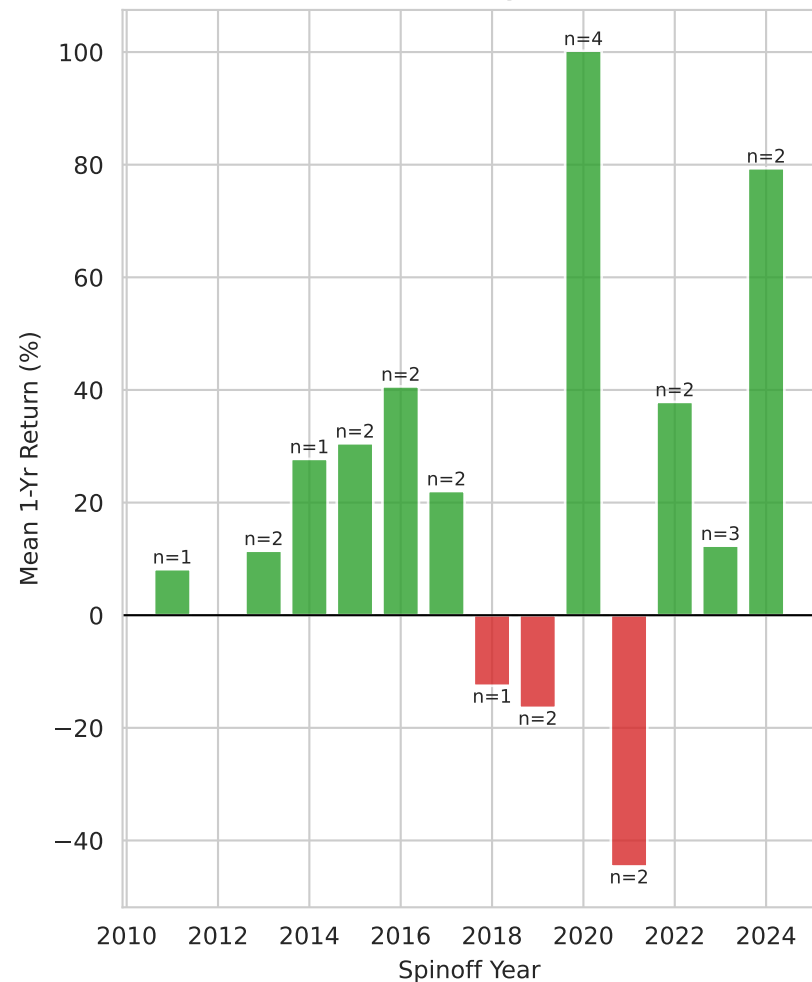


Complete Trade Log

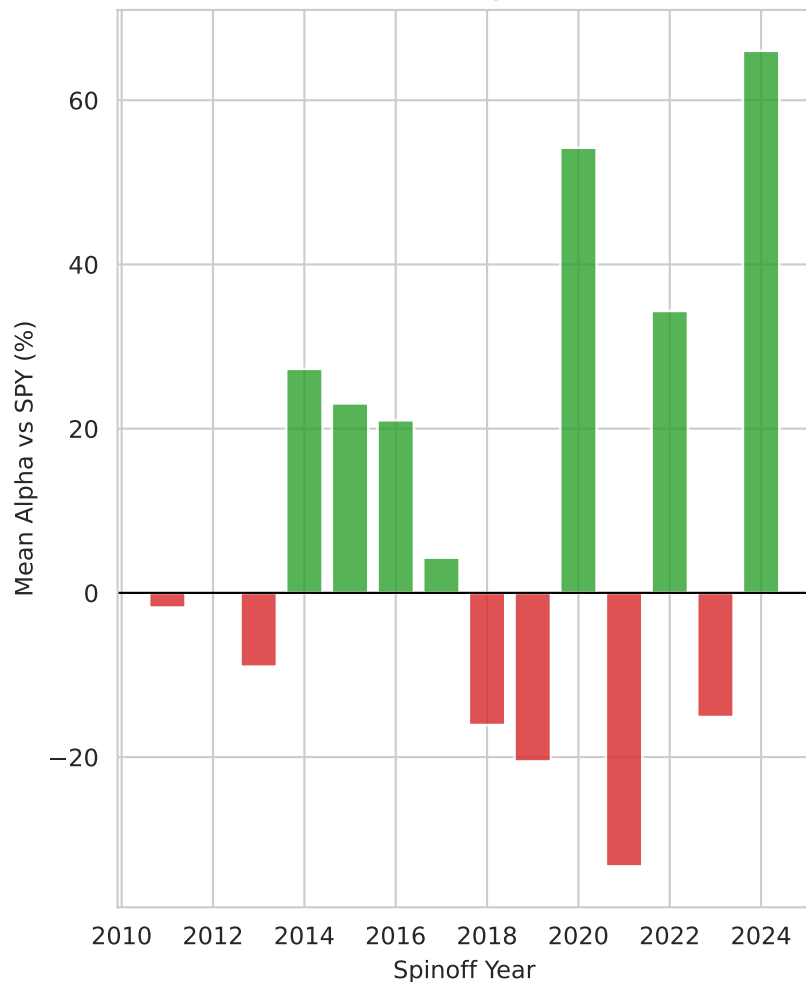
Ticker	Spinoff	Entry	Exit	Ret	SPY	Alpha	Status
MPC	2011-07-01	2011-08-01	2012-07-30	+8.2%	+10.0%	-1.8%	CLOSED
ADT	2012-09-28	—	—	—	—	—	NO_DAT
ABBV	2013-01-02	2013-02-01	2014-02-03	+31.9%	+17.5%	+14.4%	CLOSED
ZTS	2013-02-01	2013-03-04	2014-03-03	-9.0%	+23.4%	-32.4%	CLOSED
MNK	2013-07-01	—	—	—	—	—	NO_DAT
SYF	2014-07-31	2014-09-02	2015-08-31	+27.8%	+0.5%	+27.3%	CLOSED
BXLT	2015-07-01	—	—	—	—	—	NO_DAT
PYPL	2015-07-20	2015-08-19	2016-08-18	+2.8%	+7.3%	-4.6%	CLOSED
HPE	2015-11-02	2015-12-02	2016-12-01	+58.3%	+7.6%	+50.7%	CLOSED
FTV	2016-07-02	2016-08-01	2017-08-01	+37.1%	+16.3%	+20.8%	CLOSED
AA	2016-11-01	2016-12-01	2017-12-01	+44.2%	+22.9%	+21.3%	CLOSED
CNDT	2017-01-03	2017-02-02	2018-02-02	+12.1%	+23.3%	-11.2%	CLOSED
DXC	2017-04-03	2017-05-03	2018-05-03	+32.1%	+12.2%	+19.8%	CLOSED
NVT	2018-05-01	2018-05-31	2019-05-31	-12.5%	+3.6%	-16.1%	CLOSED
DOW	2019-04-01	2019-05-01	2020-04-30	-30.6%	+1.6%	-32.2%	CLOSED
CTVA	2019-06-03	2019-07-03	2020-07-02	-2.3%	+6.6%	-8.9%	CLOSED
HWM	2020-04-01	2020-05-01	2021-05-03	+155.4%	+50.3%	+105.2%	CLOSED
OTIS	2020-04-03	2020-05-04	2021-05-03	+60.4%	+49.8%	+10.5%	CLOSED
CARR	2020-04-03	2020-05-04	2021-05-03	+168.2%	+49.8%	+118.3%	CLOSED
VNT	2020-10-09	2020-11-09	2021-11-08	+17.0%	+34.1%	-17.1%	CLOSED
GXO	2021-08-02	2021-09-01	2022-09-01	-47.6%	-11.0%	-36.6%	CLOSED
KD	2021-11-04	2021-12-06	2022-12-05	-41.6%	-11.6%	-30.0%	CLOSED
CEG	2022-01-03	2022-02-02	2023-02-02	+62.4%	-7.4%	+69.8%	CLOSED
RXO	2022-11-01	2022-12-01	2023-12-01	+13.3%	+14.5%	-1.1%	CLOSED
GEHC	2023-01-04	2023-02-03	2024-02-05	+4.2%	+21.3%	-17.0%	CLOSED
KVUE	2023-05-04	2023-06-05	2024-06-03	-20.4%	+25.4%	-45.8%	CLOSED
VLTO	2023-09-14	2023-10-16	2024-10-14	+53.2%	+35.8%	+17.4%	CLOSED
SOLV	2024-04-01	2024-05-01	2025-05-01	+0.7%	+13.0%	-12.3%	CLOSED
GEV	2024-04-02	2024-05-02	2025-05-02	+158.0%	+13.7%	+144.4%	CLOSED
SNDK	2025-02-24	2025-03-26	2026-03-06	+902.1%	+19.3%	+882.9%	OPEN
SOLS	2025-10-30	2025-12-01	2026-03-06	+51.4%	-0.9%	+52.2%	OPEN
Q	2025-10-31	2025-12-01	2026-03-06	+42.0%	-0.9%	+42.9%	OPEN

Deep-Dive Analysis

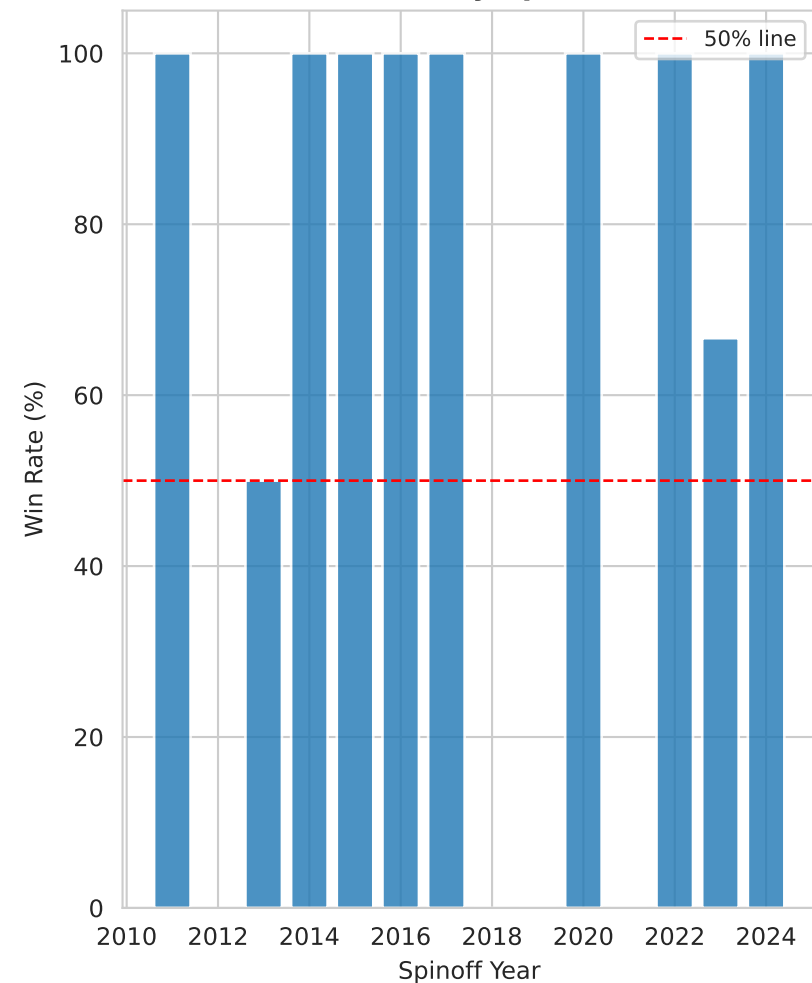
(a) Mean Return by Spinoff Year



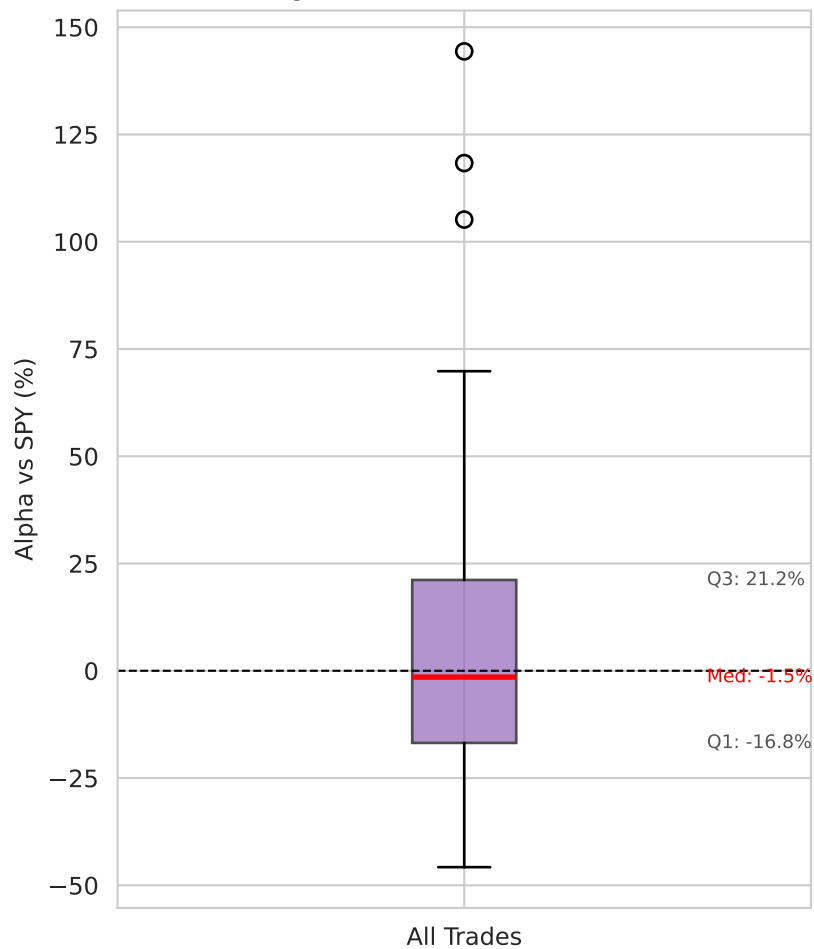
(b) Mean Alpha by Spinoff Year



(c) Win Rate by Spinoff Year



(d) Alpha Distribution (Box Plot)



Strategy Rationale & Methodology

WHY SPINOFFS OUTPERFORM

1. **FORCED SELLING** — When a company spins off a subsidiary, shareholders of the parent receive shares in the new entity whether they want them or not. Index funds must sell if the spinoff is too small for their mandate. This indiscriminate selling creates artificially depressed prices unrelated to business fundamentals.
2. **ANALYST NEGLECT** — Spinoffs receive little sell-side coverage initially. As analysts initiate coverage over the following 12–18 months, institutional interest builds, and the stock re-rates to fair value.
3. **MANAGEMENT ALIGNMENT** — Spinoff management teams typically receive fresh equity compensation tied to the standalone stock. This creates strong incentives to improve operations, execute buybacks, and communicate clearly with investors.
4. **FOCUSED STRATEGY** — No longer constrained by a conglomerate parent, spinoffs can pursue focused strategies, divest non-core assets, and optimize capital allocation.

ACADEMIC EVIDENCE

- Desai & Jain (1999): Spinoffs outperform market by ~+25% over 3 years post-separation.
- McConnell & Ovtchinnikov (2004): Spinoffs earn +20% alpha in year 1, fading by year 3.
- Chemmanur & Yan (2004): Spinoff effect strongest for firms with high information asymmetry.
- Miles & Rosenfeld (1983): Announcement returns +3.5% for parent, spinoff undervalued.
- Greenblatt (1997): The '30-day rule' — wait for forced sellers to finish before buying.

STRATEGY RULES (COMPLETE)

ENTRY: Buy the spinoff stock 30 calendar days after its first day of trading.

This lag ensures the bulk of forced/index selling is complete.

EXIT: Sell exactly 365 calendar days (≈ 1 year) after entry.

Academic research shows alpha peaks around 12–18 months; we capture year 1.

For positions < 1 year old, we use the latest available price (open trade).

FILTER: Parent company must have been an S&P 500 constituent at spinoff date.

The spinoff itself need not be in the S&P 500 (e.g. SNDK went to SmallCap 600).

Example: Mallinckrodt (MNK) is INCLUDED because parent Covidien (COV) was SPX.

SIZE: Equal dollar weight per trade. No leverage.

BENCH: Total return SPY over the identical entry-to-exit window.

RISKS & LIMITATIONS

- Spinoffs can fail — some trade to zero (e.g., Mallinckrodt/MNK bankrupt 2020, GXO -48%).
- Survivorship bias: companies with no tradeable data excluded (e.g., ADT 2012, Baxalta).
- Transaction costs not modelled — spinoffs often have wide bid-ask spreads initially.
- Sample size is small (~ 20 completed trades); statistical significance is limited.
- Strategy works best in bull markets; alpha shrinks in bear markets.